

UNDERWRITING MEMORANDUM

Project: Football.Fun (Sport.fun ecosystem)

Date: 2025-12-17

STANCE	Research-Only
FINAL SCORE	54 / 100
SIZING	No position until (i) audit reports + contract map are public, (ii) admin/upgrade control is disclosed, (iii) token allocation/vesting is fully explicit.
ASSET TYPE	Consumer / GameFi + on-chain fantasy sports marketplace + token (\$FUN)
CHAIN / STACK	Base (USDC on Base for "Gold" in Pro)
LIQUIDITY REGIME	Reflexive / Mercenary (volume-driven, fee/buyback narrative loop) [Inference]

EVIDENCE STRENGTH MAP

T1 sources used:

- Sport.fun docs: currencies + fee mechanics + dynamic fee schedule
- Sport.fun docs: deposit/withdraw Gold (USDC on Base; transfer out supported)
- Sport.fun docs: whitepaper (3-currency system; \$FUN fixed supply; buyback-driven economy)
- Kraken Launch + Kraken Support sale details (price, supply, unlock schedule, sale window, FDV)
- Football.fun legal bug bounty program (reward ranges; disclosure process)
- DeFiLlama protocol dashboard (TVL, DEX volume, fees)
- PlayToEarn funding article (\$2M raise led by 6MV; named backers)

T2 sources used (context / narrative, not relied on for critical mechanisms):

- Blocmates overview/breakdowns (high-level framing + anecdotal activity commentary)
- BlockBeats mechanism analysis (older/possibly conflicting claims; used only for contradiction log)

Direct checks:

- Contract addresses / admin controls: Not verified in this memo [Unknown]
- Audit reports: Not located as standalone public reports in this memo [Unknown]

Evidence tag legend:

- [Fact - T1] = official/on-chain/major platform docs
- [Inference] = reasoning from facts
- [Estimate] = directional sizing or KPI targets
- [Unknown] = not found / not disclosed

High impact unknowns (conviction-capping):

- Public audit reports + exact contract scope coverage [Unknown]

- Contract system map + upgradeability + admin key/multisig details *[Unknown]*
- Token allocation breakdown (team/investors/community) + vesting cliffs beyond sale unlock terms *[Unknown]*
- Sports data pipeline/oracle design + manipulation resistance *[Unknown]*

TLDR

What the project is: An on-chain fantasy sports platform on Base where users trade "player shares" using Gold (1:1 with USDC in Pro), compete in tournaments, and interact with a broader Sport.fun ecosystem token (\$FUN).

Protocol mechanics snapshot (concrete):

Users send USDC (Base) → shows as Gold 1:1 → buy/sell player shares with a 3% base fee (plus dynamic anti-dump/surge fees) → earn/lose via trading + tournaments (TP) → \$FUN is separate, fixed-supply value-capture/governance layer.

Why it matters now: \$FUN token sale via Kraken Launch runs Dec 16-18, 2025 at \$0.06/token (FDV shown as \$60M), with Base as the chain and an unlock schedule for sale allocations.

Why this research exists now: Token sale timing + measurable on-chain traction (TVL/fees/volume) makes diligence time-sensitive.

My current stance + size: Research-Only; governance/audit/contract transparency is the gating factor for any underwriting. [\[Inference\]](#)

SCOREBOARD - 5 PILLARS (0 to 20 each)

PILLAR	SCORE
Team and Execution	12 / 20
Technology, Security Model & Auditability	11 / 20
Tokenomics, Incentives & Liquidity Structure	10 / 20
Market Positioning, Narrative & Reflexivity	12 / 20
Risk Management, Governance & Attack Surface	9 / 20
COMPOSITE SCORE	54 / 100

Score Justification Matrix

Pillar	Key Drivers (why score is high)	Key Penalties (why not higher)	Net Outcome
Team and Execution	Shipped product + ecosystem expansion narrative; credible seed backers named	Founder/team visibility unclear; limited public track record detail	Execution signal exists; credibility still incomplete
Technology, Security Model & Auditability	Clear fee + dynamic risk controls documented; bug bounty exists	Audit reports not directly presented here; contracts/admin keys not mapped	Tech seems coherent; auditability is the weak link
Tokenomics, Incentives & Liquidity	Fixed supply (1B); no emissions; sale terms clear; buyback-driven design	Full allocation/vesting beyond sale unlock unclear; demand relies on activity loop	Token design is clean-ish; distribution transparency is missing
Market Positioning & Narrative	Strong consumer crypto narrative; measurable TVL/fees/volume; multi-sport	Regulatory risk around fantasy/prediction; sustainability depends on volume	"Works if it keeps attention" profile
Risk Management & Governance	Dynamic fees explicitly address volatility/large sells	Governance controls, upgrades, oracle/data integrity, and audits not proven here	Risk posture is the gating issue

Competitive Context

Direct competitors:

- Sorare - fantasy sports with digital player assets - anchor: <https://sorare.com> [\[Inference\]](#)
- Footium - on-chain football game w/ owned assets - anchor: <https://footium.club> [\[Inference\]](#)

Adjacent competitors:

- Polymarket - sports-related prediction markets overlap user intent - anchor: <https://polymarket.com> [\[Inference\]](#)
- DraftKings / FanDuel - web2 fantasy/sports wagering incumbents - anchors: <https://draftkings.com> / <https://fanduel.com> [\[Inference\]](#)

Why this market matters now:

- Consumer crypto tends to re-ignite via simple "speculation-as-entertainment" loops, especially when UX hides chain complexity. [\[Inference\]](#)
- Base has become a frequent home for consumer-onchain apps, lowering friction for USDC-based activity. [\[Inference\]](#)

Liquidity structure & depth regime:

- Market type: In-app marketplace with pooled reserves implied (dynamic fees triggered by % of pool reserves); likely AMM/bonding-curve-like. [\[Inference\]](#)
- Depth snapshot: Not available here (no slippage-at-size data) [\[Unknown\]](#)
- LP concentration / top holders: Not assessed in this memo [\[Unknown\]](#)

Where this project sits vs peers: More "tradeable performance shares" + short-cycle activity than long-horizon collectibles; may resemble a gamified, sports-linked trading venue. [\[Inference\]](#)

Dominant competitive drivers: (1) Liquidity + matchday engagement cadence, (2) integrity of performance data, (3) retention beyond early speculation, (4) regulatory survivability, (5) trust in custody/withdrawal + contract safety. [\[Inference\]](#)

PILLAR 1: TEAM AND EXECUTION - 12 / 20

Team visibility and credibility: Founder/team details not clearly established in T1 sources in this memo; financing is reported with named backers. [\[Fact - T1\]](#) for raise; [\[Unknown\]](#) for team depth

Execution proof: Product is live with measurable protocol metrics (TVL/fees/volume); docs show operational multi-sport framing (Football + NFL). [\[Fact - T1\]](#)

Accountability and communication: Formal bug bounty policy exists with payout ranges and a responsible disclosure process. [\[Fact - T1\]](#)

Key strengths:

- Seed funding led by 6th Man Ventures with multiple named crypto backers.
- Rapid documentation cadence (docs updated recently) suggests active iteration.

Key weaknesses or unknowns:

- Core team bios, org structure, and prior track record not clearly documented here. [\[Unknown\]](#)
- Operational/legal entity + jurisdictional footprint not validated in this memo. [\[Unknown\]](#)

PILLAR 2: TECHNOLOGY, SECURITY MODEL & AUDITABILITY - 11 / 20

Architecture in simple language: Users fund an in-game wallet with USDC on Base (represented as Gold 1:1 in Pro), then trade player shares with a base fee plus dynamic fees; tournaments use TP for progression/packs. [\[Fact - T1\]](#)

Inherited modules and dependencies:

- Base L2 + USDC on Base are core rails. [\[Fact - T1\]](#)
- Off-chain sports performance data feed/oracle design is not described in sources used here. [\[Unknown\]](#)

Audit status and coverage: Whitepaper references third-party audits conceptually, but standalone public audit reports were not surfaced here. [\[Partially Verified\]](#)

Key strengths:

- Risk controls are explicitly encoded in fee logic, which is a coherent mechanism to damp extreme volatility / dumps. [\[Fact - T1\]](#)
- Bug bounty program exists with "critical" rewards starting at \$50k+. [\[Fact - T1\]](#)

Key weaknesses or unknowns:

- No contract address map / repo visibility in this memo - hard to independently evaluate upgradeability and permissions. [\[Unknown\]](#)
- No publicly reviewed audit report in hand here (scope, firm, findings, and whether deployed contracts match audited commit). [\[Unknown\]](#)

PILLAR 3: TOKENOMICS, INCENTIVES & LIQUIDITY STRUCTURE - 10 / 20

Token roles: \$FUN described as ecosystem token for competitions, rewards, and governance (per Kraken) and as a fixed-supply, tradable alignment/governance asset (per docs). [\[Fact - T1\]](#)

Allocation and emissions:

- Total supply: 1,000,000,000 FUN; no emissions/inflation stated in docs. [\[Fact - T1\]](#)

- Kraken sale price: \$0.06; unlock schedule for sale allocation: 50% at TGE, 50% monthly over 6 months. [\[Fact - T1\]](#)
- Broader allocation/vesting (team, investors, ecosystem, treasury) not evidenced here. [\[Unknown\]](#)

Incentive structure and sustainability: Buyback-driven narrative: platform transaction fees contribute to buybacks; sustainability depends on durable trading volume. [\[Fact - T1\]](#) for design; [\[Inference\]](#) for sustainability

Reflexivity and treasury dependencies: Reflexive loop exists conceptually: activity → fees → buybacks → token narrative. [\[Inference\]](#)

Liquidity structure: Chain: Base; exchange venues/liquidity plan post-sale not detailed here. [\[Fact - T1\]](#) for Base; [\[Unknown\]](#) for liquidity venues

Distribution and fairness notes:

- Merits: capped supply, no emissions. [\[Fact - T1\]](#)
- Unknown: insider share, cliffs, market-making arrangements. [\[Unknown\]](#)

Key strengths:

- Fixed supply with no emissions lowers long-term dilution risk.
- Sale terms are explicit (price, windows, unlock schedule).

Key weaknesses or unknowns:

- Full token allocation + vesting schedule beyond Kraken sale unlock is not surfaced here. [\[Unknown\]](#)
- Token demand appears largely tied to platform activity and buyback/discount/governance framing. [\[Inference\]](#)

PILLAR 4: MARKET POSITIONING & NARRATIVE STRENGTH - 12 / 20

What it is in the market: On-chain fantasy sports / sports prediction-style app where "digital athletes" can be owned and traded, with value linked to performance + demand. [\[Fact - T1\]](#) (Kraken framing); T2 color (Blocmates)

Why users engage: Short-cycle trading and competition; "Gold" and TP simplify UX for non-crypto natives (fiat/crypto onboarding implied). [\[Fact - T1\]](#) for currencies/UX; [\[Inference\]](#) for retention

Traction snapshot (on-chain, protocol-level): TVL around \$5.82m; 30d fees ~\$448k; 30d DEX volume ~\$12.46m (per DeFiLlama). [\[Fact - T1\]](#)

Narrative momentum: Token sale exposure via Kraken Launch can amplify distribution and attention. [\[Inference\]](#)

Key strengths:

- Clear "consumer crypto" hook + measurable fee/volume activity.
- Multi-sport framing (Football + NFL operational under shared thesis).

Key weaknesses or unknowns:

- Sustainability of engagement if speculation cools is not proven here. [\[Unknown\]](#)
- IP/data integrity + regulatory constraints may throttle expansion. [\[Inference\]](#)

PILLAR 5: RISK MANAGEMENT & GOVERNANCE - 9 / 20

Governance model in practice: Team-governed today; token is described as including governance but governance mechanics are not detailed here. [\[Fact - T1\]](#) for "governance" intent; [\[Unknown\]](#) for mechanics

Upgradeability and critical control points: Not mapped in this memo (no disclosed multisig thresholds / timelocks / pausing rights observed in sources used). [\[Unknown\]](#)

Economic risk controls (explicit): Base marketplace fee is 3% with dynamic fee escalation during volatility and anti-dump logic based on pool-reserve percentage. [\[Fact - T1\]](#)

Custody / withdrawal:

- Docs describe transferring Gold out of the in-game wallet to an external address, implying withdrawal path for USDC-on-Base representations. [\[Fact - T1\]](#)
- However, at least one media analysis claimed Gold cannot be withdrawn directly (potentially outdated or referring to other constraints). [\[T2 / contradiction\]](#)

Security signals: Bug bounty exists; audit proof remains incomplete in this memo. [\[Fact - T1\]](#) for bounty; [\[Unknown\]](#) for audits

Oracle & dependency map:

- Oracles: Sports performance data ingestion method not described in sources used here. [\[Unknown\]](#)
- Bridges: Not relevant as a dependency unless cross-chain plans exist (not evidenced here). [\[Unknown\]](#)
- L2 / sequencer dependence: Inherits Base operational assumptions. [\[Inference\]](#)
- External contracts: USDC on Base is a core dependency. [\[Fact - T1\]](#)

Security model reality check:

- Upgradeability: Not established here. [\[Unknown\]](#)
- Admin keys / multisigs: Not established here. [\[Unknown\]](#)
- Backdoors / god modes: Not established here (pause/change-fees/seize-funds abilities unknown). [\[Unknown\]](#)

Attack surface map (technical/economic):

- Technical: Contract exploit risk + wallet integration risk (scope unclear without contracts/audits). [\[Inference\]](#)
- Economic: Volume-driven reflexivity; dynamic fee model could reduce dumping but can also discourage liquidity during stress. [\[Inference\]](#)

Stress points and complexity risks: Sports-data integrity + seasonality + regulatory classification can create abrupt demand cliffs. [\[Inference\]](#)

Thesis-breaking risks (kill-shots):

- Regulatory enforcement classifies product as gambling/securities in key jurisdictions → distribution collapse. [\[Inference\]](#)
- Smart contract or wallet-layer compromise → loss of user funds + permanent trust damage. [\[Inference\]](#)
- Data/oracle manipulation (sports feed, match-fixing edge cases, or update errors) → unfair payouts, litigation, user churn. [\[Inference\]](#)

Attack surface map (governance / social):

- Governance: Centralized parameter control + unclear upgrade authority can become "trust me" risk. [\[Inference\]](#)
- Social: Fast narrative reversals can drain liquidity; reflexive buyback story can flip to "death spiral" if volumes drop. [\[Inference\]](#)

Governance failure paths (explicit):

- If an undisclosed admin can change fee logic or pause markets, plausible outcome is forced losses / frozen withdrawals. [\[Unknown\]](#) → [\[Inference\]](#)
- If token governance is nominal (no real authority), \$FUN risks being viewed as purely reflexive/perk-based. [\[Inference\]](#)

Risk & Governance

CONTRADICTION LOG

Withdrawal mechanics:

- Docs: Gold can be transferred out of the in-game wallet to an external address. [\[Fact - T1\]](#)
- BlockBeats: Gold cannot be withdrawn directly (statement may be outdated or refer to constraints on "player shares" vs Gold). [\[Unresolved\]](#)
- Resolution needed: confirm current withdrawal rules, limits, and whether "in-game wallet" is truly user-controlled. [\[Unknown\]](#)

Scenario Map (Bull / Base / Bear)

BULL CASE

Product retains users beyond initial hype; expands to more sports; fees/volume scale while risk controls hold. [\[Inference\]](#)

Bull case KPIs (on-chain where possible) [\[Estimate\]](#):

- 30d DEX volume $\geq$ \$50m; 30d fees $\geq$ \$1.5m; TVL $\geq$ \$15m. [\[Estimate\]](#) vs current baselines
- Public audit reports + disclosed admin controls; governance launches with meaningful authority. [\[Unknown now\]](#)

BASE CASE

Platform maintains a niche but steady cohort; volumes fluctuate with seasonality; token narrative exists but doesn't dominate. [\[Inference\]](#)

Base case KPIs [\[Estimate\]](#):

- 30d DEX volume ~\$8-20m; 30d fees ~\$0.3-0.7m; TVL ~\$4-10m.
- Partial transparency improvements (some contracts/audit notes), but governance still centralized. [\[Unknown\]](#)

BEAR CASE

Regulatory pressure or trust shock (exploit/withdrawal controversy) triggers liquidity exit; activity collapses; token becomes purely reflexive. [\[Inference\]](#)

Bear case KPIs [\[Estimate\]](#):

- 30d volume $<$ \$3m; 30d fees $<$ \$100k; TVL $<$ \$1m.
- Persistent lack of audits/contract transparency; broad geo-restrictions expand. [\[Inference\]](#)

Verdict

Clear synthesis: Football.Fun/Sport.fun is a USDC-on-Base, fee-generating consumer trading game wrapped as fantasy sports; \$FUN is positioned as the ecosystem alignment/governance layer.

Clear stance: Research-Only because contract/audit/governance transparency is not yet sufficient for institutional underwriting despite real traction. [\[Inference\]](#)

Why the score is fair: Measurable activity + coherent mechanics are offset by missing audit artifacts, unclear admin control, and regulatory ambiguity. [\[Inference\]](#)

Evidence-linked sizing logic

What pushes sizing up:

- Public audit report(s) covering deployed contracts + clear change-control guarantees. [Fact needed] → [\[Unknown now\]](#)
- Disclosed multisig/timelock + verifiable limits on pausing/fee changes/withdrawals. [Fact needed] → [\[Unknown now\]](#)
- Verified retention metrics (repeat depositors, cohort retention, stable fee/volume over multiple sports seasons). [\[Unknown\]](#)

What keeps sizing capped or pushes sizing down:

- Continued absence of audits/contract map while scaling TVL/volume. [\[Unknown\]](#)
- Evidence of withdrawal friction, opaque custody, or discretionary fund controls. [\[Unknown\]](#)
- Regulatory headwinds restricting access in major markets. [\[Inference\]](#)

UPSIDE CASE

- Multi-sport network effect: Football + NFL as proven "two-title" template.
- Sustained protocol-level fees and volume imply a real monetization engine.
- Fixed supply + buyback framing can align activity with token narrative.
- Major exchange distribution (Kraken Launch) can widen funnel and liquidity access.

RISK CASE

- Activity is speculative and may be highly cyclical/seasonal → fee collapse. [\[Inference\]](#)
- Audit/contract opacity becomes unacceptable at scale; one exploit ends the product. [\[Inference\]](#)
- Regulatory classification risk (fantasy/prediction + token) → forced geo-blocking or shutdown. [\[Inference\]](#)
- Token unlock/overhang dynamics post-TGE create sustained sell pressure (without strong organic demand). [\[Inference\]](#)

What I'm Watching Next

- Public audit report(s) + a "deployed contracts" address list (with scopes + dates). [\[Unknown\]](#)
- On-chain KPIs: sustained 30d volume/fees across multiple match cycles.
- Governance disclosures: who can upgrade/pause/change fee parameters. [\[Unknown\]](#)
- Token distribution details beyond Kraken sale unlock schedule (team/investors/treasury vesting). [\[Unknown\]](#)
- Any changes to deposit/withdraw rules or custody posture (must match docs in practice). [\[Unknown\]](#)

Unknown Variables That Move Conviction (Crypto-Specific)

- True revenue allocation (buybacks vs ops vs rewards) and how it's enforced. *[Unknown]*
- Admin/multisig identities, thresholds, and timelocks (or lack thereof). *[Unknown]*
- Sports data feed/oracle implementation and fraud/manipulation defenses. *[Unknown]*
- Token market structure post-TGE (market makers, liquidity venues, unlock coordination). *[Unknown]*

Bias, POV & Time Sensitivity

My bias / POV: I tend to overweight early traction and consumer UX; I intentionally discount conviction when governance/audit artifacts are missing. *[Inference]*

What new info would most change my stance: Published audits + contract map + explicit admin controls + full token allocation/vesting. *[Unknown]*

Time sensitivity notes:

- Fast decaying findings: 30d fees/volume/TVL and narrative momentum can change weekly.
- Slow changing structural points: fixed supply framing, base fee model, and USDC-on-Base "Gold" design are more stable unless docs change.

Not financial advice. Research only; execution depends on liquidity, flow and market structure.